

The long run is a misleading guide to current affairs. In the long run, we are all dead. Economists set themselves too easy, too useless a task if in the tempestuous seasons they can only tell us that when the storm is long past the ocean will be flat.

Keynes is suggesting that the tempestuous seasons are the norm. The ocean will never be flat soon enough to matter. In Keynes' philosophy, equilibrium and central values are myths, not the foundations on which we build our structures. We cannot escape the short run.

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*Those long-run investors who believe that they can distinguish signal from noise scorn the traders who are so busy chasing the wiggles and the ripples that they run the risk of losing the main trend.*

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These considerations explain why I asserted at the outset that the long run is in the eye of the beholder. The way you feel about the long run and the way you define it are ultimately gut issues. These issues are resolved more by the nature of your basic philosophy of life, or even how you feel when you get up each morning, than by rigorous intellectual analysis.

Those who believe in the permanence of tempestuous seasons will view life as a succession of short runs, where noise dominates signals and the frailty of the basic parameters makes normal too elusive a concept to worry about. These people are pessimists who see nothing in the future but clouds of uncertainty. They make decisions based only on the short distance ahead that they can see.